

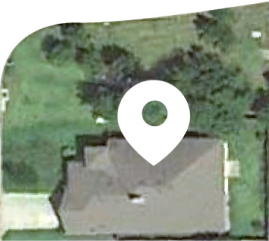
Adjusting for Differences



Comparables often have significant differences from the subject property, and this requires an adjustment.

For instance, if one comparable has four bedrooms and two-and-a-half baths, and your subject property has three bedrooms and two baths, you need to adjust the comparable's sale price to see what it would have sold for if it had been more similar to the subject property.

Let's see how this works.

			
SUBJECT (no sales price)	COMPARABLE A \$375,000	COMPARABLE B \$352,000	COMPARABLE C \$328,000
2-car garage	2-car garage	2-car garage	1-car garage
	—	—	+\$5,000*

All but one of the comparables have a two-car garage (like the subject property). For comparable C, we must **add** \$5,000 to the price of the property.

Why?

We know the actual sale price of the comparable with a one-car garage, and we want to know, all things being equal, what this property would have sold for if it were more like our subject property. So we add the amount we believe a two-car garage is worth in our market (as compared to a one-car garage) to make the comparable more similar to the subject.

***How do we know how much an extra car garage is worth? Years in the field.** Or you can try to run comps based on that alone and see what the price differential is, but it's not always easy since there are so many variables. This isn't a science-not even appraisers will claim that-but we do the best we can.



SUBJECT
(no sales price)

2-car garage

8,000 sq ft lot



COMPARABLE A
\$375,000

2-car garage
—

10,000 sq ft lot
(\$5,000)



COMPARABLE B
\$352,000

2-car garage
—

11,000 sq ft lot
(\$6,000)



COMPARABLE C
\$328,000

1-car garage
+\$5,000

10,000 sq ft lot
(\$5,000)*

*These numbers are based on tax records and price per square foot of land.

Let's look at another adjustment:

In this case, the subject property **doesn't** have something desirable that the other properties **do** have, so we have to **subtract** the value from the other properties.

Now let's look at the completed adjustment table.



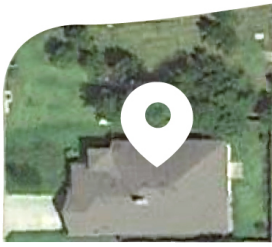
SUBJECT	COMPARABLE A \$375,000	COMPARABLE B \$352,000	COMPARABLE C \$328,000
2-car garage	2-car garage —	2-car garage —	1-car garage +\$5,000
8,000 sq ft lot	10,000 sq ft lot – \$5,000*	11,000 sq ft lot – \$6,000	10,000 sq ft lot – \$5,000
4 bed / 2.5 bath	4 bed / 2.5 bath —	4 bed / 2 bath +\$5,000	3 bed / 2 bath +\$10,000
2,750 sq ft	3,200 sq ft – \$10,000	2,950 sq ft – \$5,000	2,700 sq ft —
Excellent location	Excellent location —	Average location +\$5,000	Below-average +\$10,000
Renovated kitchen/bath	Renovated kitchen/bath —	Renovated kitchen/bath —	Unrenovated kitchen/bath +\$40,000
Price range:	Total – \$15,000	Total – \$1,000	Total +\$60,000
\$351–388,000	Adjusted \$360,000	Adjusted \$351,000	Adjusted \$388,000

When we started, we had a price range from \$328,000 to \$375,000 for our comparables. After adjustments, we have a price range from \$351,000 to \$388,000. We've come a little closer, but we're not there yet. What do we do? Average them? Weigh one that's more closely related to the subject property heavier than the others? Base it on proximity to the subject property?

This is where experience in the field will help you. First, see how the market is moving.

- Is it a seller's market? Then you can probably come in near the top of that range.
- Is it a buyer's market? Better head south.
- What about days on market? Are things selling quickly, or are they dragging out?
- How quickly are homes in the higher price range selling versus the lower price range?
- What do your sellers need? Do they have to sell quickly because of a job transfer?
- How's the competition?

CMA's produce a range of possible list prices. Your seller will make the final determination of the list price, with your guidance.



SUBJECT
\$351-388,000



COMPARABLE A
\$360,000
(adjusted)



COMPARABLE B
\$351,000
(adjusted)



COMPARABLE C
\$388,000
(adjusted)